

A Word on Social Security

Social security is a benefit plan that's been around since 1935 for employed persons who pay into the system for the required amount of time, i.e. forty payroll quarters. In addition to retirement, social security includes several other programs, including Medicare (the health care plan for people over sixty-five), disability benefits, and survivor benefits for spouses or dependents. These programs are funded by mandatory taxes deducted from your pay and matching taxes paid by your employer. The employee's current tax rate is 5.65 percent to be deducted from the employee's pay (until January 1, 2013, when the employee amount is slated to return to 7.65 percent) up to \$110,100 in 2012 and 1.45 percent of wages over that amount. Beginning in 2013, this 1.45 percent will be increased to 2.35 percent to the extent that salaries exceed \$200,000 for a single individual (\$250,000 if married filing jointly) as a subsidy to pay for the new Affordable Care Act.

Social Security Benefits Statement

When you reach retirement age, you'll receive benefits based on a complex calculation using the number of years you worked, the income you earned during those years, and your age at retirement. You can request a Social Security Benefits Statement that will include a record of your earnings history by year as reported on your W-2s and the amount you and your employers paid in social security taxes. It also includes an estimate of the benefits you can expect to receive at early retirement age (sixty-two), normal retirement age (sixty-seven for those born in 1960 or later) and late retirement age (seventy). However, this is just an estimate and it's subject to change.

Counting on Social Security

There was a time when many retirees relied on social security to get them through their golden years. Today social security is considered a